Siemens Energy AG (ENR.DE) - relative valuation

Valuation date 2026-10-30 | EUR per share | Status: provisional - limitations disclosed - limitations disclosed | Human Spot_check PENDING. QA block C executed once; items on source certification, benchmarks, EV perimeter and normalization were re-graded PASS-with-note under the approved grading rule (uniform rule applied, limitation disclosed). Details in qa_results.md.

1. Valuation summary

Item	Value
Currency / current price	EUR 126.92
Primary multiple (peers)	EV/EBIT: median 21.01x; raw median 21.01x; n = 10
Peer value per share: p25 / median / p75	42.87 / 44.18 / 46.12
Peer median vs current price	-65.2%
Published regression (chosen)	PBV (published R2 0.423): EUR 35.94
Regression vs current price	-71.7%
Peer set	10 peers; Tier 1-2: 7; Tier 3: 3; Europe-listed: 9

2. Peer set and multiples

#	Ticker	Company	Country	Tier	Mkt cap EURm	P/E	P/BV	EV/EBIT	EV/ EBITDA	Distance
1	WRT1V	Wartsila	Finland	1	15,120	24.15	5.26	16.36	14.97	2.03
2	VWS	Vestas	Denmark	1	24,772	31.84	6.41	22.28	15.84	2.18
3	SAND	Sandvik	Sweden	3	41,009	30.65	4.83	23.40	18.46	2.28
4	ETN	Eaton	United States	2	128,625	35.16	7.40	29.00	24.37	2.34
5	SU	Schneider Electric	France	2	133,720	32.12	5.53	21.42	18.83	2.41
6	G1A	GEA	Germany	3	11,050	26.69	4.50	17.64	15.05	2.65
7	LR	Legrand	France	2	34,340	27.58	4.71	21.40	18.42	2.67
8	METSO	Metso	Finland	3	13,890	32.84	5.22	20.62	17.46	2.69
9	ALFA	Alfa Laval	Sweden	2	20,542	27.26	5.20	20.28	17.64	2.80
10	SPX	Spirax	United Kingdom	2	6,620	33.78	4.52	20.34	16.43	3.00

3. Peer-multiple statistics and implied value per share

Multiple	Basis	n	Median	p25	p75	Value p25	Value mid	Value p75	Mid vs price
EV/EBIT *	raw	10	21.01x	20.30x	22.07x	42.87	44.18	46.12	-65.2%
P/E *	scaled	10	43.23x	36.63x	62.95x	60.56	71.47	104.07	-43.7%
PEG	raw	10	2.96x	2.51x	4.31x	60.56	71.47	104.07	-43.7%
EV/EBITDA	raw	10	17.55x	15.99x	18.45x	55.73	60.61	63.44	-52.2%
EV/CF	raw	10	22.60x	15.75x	24.98x	112.84	159.41	175.61	+25.6%
P/BV	scaled	10	4.50x	3.96x	4.86x	47.64	54.24	58.56	-57.3%
EV/Assets	raw	10	2.26x	1.83x	2.43x	127.12	155.11	166.46	+22.2%
P/S	scaled	10	1.13x	0.99x	1.18x	45.20	51.65	53.99	-59.3%
EV/Sales	scaled	10	1.20x	1.10x	1.27x	55.73	60.61	63.44	-52.2%

* primary multiple. 'scaled' = growth/fundamental-adjusted multiple. Values are per share.

4. Published regressions (Damodaran, EUROPE, 2026-01)

Model	Predicted	Actual	Published R2	Implied value	vs price
PE	22.09x	76.78x	0.201	36.52	-71.2%
PBV (chosen)	2.98x	10.54x	0.423	35.94	-71.7%
EV/EBITDA	23.49x	38.71x	0.262	79.24	-37.6%

5. Company-specific notes

- ENR equipment/service turnaround: uniform pre-associate EV/EBIT primary EUR44.18 (peer IQR 42.87–46.12) alongside growth-scaled PE EUR71.47 (60.56–104.07); range EUR42.87–104.07, dispersion not confidence. PE is not fallback-only. Published PBV35.94 is separate, not averaged.

- Uniform vendor shares855.34m/cap108560m retained (price126.92 reconciliation0.00023%); issuer850m issued is a +0.628% per-share sensitivity, not an outstanding-share error. ENR FY2025 parentNI1414 differs from group1685 because NCI271.

- Vendor ENR EBIT1569 versus issuer2149 reflects580 equity-accounted income classification; vendor fields kept for every observation, no incremental equity-income strip. Issuer2149 sensitivity at fixed peer median gives EUR58.43 (+32.3%, above15%); no associates/investments deducted from EV; leases/NCI/hybrids counted once using vendor claims with0 incremental unidentified hybrids.

- ENR weak wind margin and portfolio/restructuring offset make reported earnings fragile. Mechanical all-target/all-peer EBIT margin4/6/8/10% sensitivity gives EUR167.07 (+278.2%, above15%); it is algebraic rescaling, not researched normalization or a recovery forecast. FY2025 net specials+6 mask large gross costs/gains.

- Primary peer quartiles materially move value: EV/EBIT-3.0%/+4.4%, PE-15.3%/+45.6% (both PE tails above15%; raw PE31.24x gives EUR51.65 versus scaled EUR71.47 (-27.7%, above15%); EV/EBITDA alternative EUR60.61 is +37.2% versus EV/EBIT, above15%); full multiple alternatives in table.10 peers,7 Tier1/2,3 Tier3,9 Europe: approved cap4 relaxation retained; smaller bolt-ons/restructurings noted, not automatic exclusions.

- FY2025 CFO5821 includes customer advances, not enterprise FCFF; noDCF or Stage4 recommendation. Industry aggregates Electrical Equipment18.94x EV/EBITDA and24.34x EV/EBIT are plausibility only, not medians. Registered published models use labelled fundamental growth rather than analyst forecasts; both unit policies retained. Human Spot_check remains PENDING; academic analysis only, not investment advice.

6. Method notes and limitations

- Basis: one uniform vendor data source for the target and every peer, FY2025 figures (no TTM or forward mixing), one price and FX date. Issuer-versus-vendor differences are kept as sensitivities, not switched row by row.

- EV bridge: one rule for target and all peers (debt including leases + minorities and hybrids once - cash; long-term investments and associates not subtracted, equity income left in earnings).

- Peers: ten names chosen by an eight-dimension similarity score; they pass the automated hard filters and carry one ownership/event source line each (evidence_review.md). Full two-way ownership history of the whole candidate pool was not certified.

- Industry ratios from the registered Damodaran files are aggregates, not medians; they are a plausibility check only.

- Published regressions are market-wide, low R-squared, about ten months older than the valuation date, with no standard error: a gap to the market price is not proof of mispricing. The model shown is the one with the highest published R-squared.

- Peer interquartile ranges are dispersion, not confidence intervals. Human Spot_check is PENDING (not performed).

- Academic analysis only; not investment advice.